

Australian economic issues



Essential ideas

News reporters are focused on the federal Treasurer, Wayne Swan, as he presents his ideas as 'coach' of Australia's 'economic game'. His first quarter 'Economic game report' for 2008–09 is summarised below.

Considering the world economic situation, Australia's economy is slowing but has so far avoided recession. Key players are participating well: consumers are spending less, but have been helped by government injections of money. Producers are delivering goods and services for both local and global markets, but the downturn has resulted in a contraction of international trade and a loss of some jobs. Oil prices have eased a little since their peak, as consumers reacted to the steep price rises by using public transport more, buying fewer fuel-guzzling cars and avoiding unnecessary car trips. However, producers are feeling the effects of lower demand for goods and services.

- ➊ Australia's federal Treasurer, Wayne Swan, launches a review of Australia's tax system, at a news conference in Melbourne, 6 August 2008. The Treasurer released a discussion paper on taxation, which, he said, would be a wide-ranging review that would set the scene for an overhaul of the tax system from 2010.



The cost of borrowing money has been lowered several times. This has eased the burden on borrowers who are paying back loans on their homes, but global economic events will continue to have an impact on the Australian economy.

Faced with these economic issues, the government has stimulated economic growth to limit job losses, spending large sums on public works, on boosting manufacturing and on encouraging consumers to buy goods and services. Future changes from the overhaul of the taxation system will also add to the strength of our economy.

Essential links

The report gives a broad picture of the economy. What is your part in the economics 'game'?

You have a vital role in the economy — in striving to satisfy your needs and wants, your choices of goods and services contribute to the economic activity that creates employment and production.

- 1 How effective can a coach's half-time pep talk, ideas and changes be for a team that is not playing at its best?
- 2 When you are actively engaged in playing a sport, do you and other players concentrate on just the next move, or do you really think about the whole game?
- 3 Why is it necessary for your coach to have a broad picture of the game in progress?
- 4 How important is the contribution of minor players in winning a game, or is it only the star players who are essential for a successful outcome?

Ministerial responsibilities within the Treasury portfolio

The Treasurer has overall responsibility for all of the policy matters falling within the Treasury portfolio. These include:

- economic and fiscal policy
- taxation
- prices surveillance
- competition policy
- national and occupational superannuation
- borrowing money on the public credit of the Commonwealth
- banking
- insurance
- currency and legal tender
- foreign exchange
- foreign investment in Australia
- census and statistics
- business law and practice
- corporate and securities law
- corporate insolvency
- valuation services
- Commonwealth–state financial relations.



Treasurer
Wayne Swan



Assistant
Treasurer
Mark Arbib



Bill Shorten,
Minister for
Financial
Services &
Superannuation

- ▶ Like a coach, the Treasurer has many responsibilities connected with the game.

THE ESSENTIAL QUESTION

Economists have different views about what the economy is. They do not all agree about what the main issues are. When they do agree, they often argue for different solutions to these issues in order to best manage the economy. The Essential Question is: **Which Australian economic issues impact on you, and what can you do to become part of the solution for these issues?**

2.1 Economics — what's that?



The footballers are excited. They are flying on an end-of season trip to a popular holiday resort. Then the unthinkable happens. Their plane experiences engine trouble and the pilot has to make a valiant attempt to crash-land on the edge of a remote, deserted island. Fortunately, there are no major injuries. What are they to do?

Resources

The footballers hold a team meeting and decide they should identify the resources to meet their needs and wants. They note three types of resources:

- Natural resources
— land, water, timber, minerals
 - Human resources
— their effort, skills and knowledge
 - Capital resources
— the buildings and equipment they will need to assist in the production of goods and services.
- The makings of an economy now exist on the island.



➤ The footballers have survived the crash. How will they survive on the island?

Needs and wants

To stay alive until rescued, perhaps many days from now, they must secure those things that are essential for life — air, water, food and protection from the weather and from danger. These basic or essential things are called needs.

In addition to these needs, there are many other things they would like to make their lives more comfortable or pleasant, such as beds, books, mirrors, combs or toothbrushes. Such things are called wants, because although they are desirable, it is possible to live without them. Look at the table below.

Needs versus wants

	Definition	Examples	Properties
Needs	Goods or services that are essential for life	Water, food, shelter, air, clothing, medication	<i>Finite list:</i> • They must be satisfied if life is to continue. • They remain throughout life. • They temporarily wane when satisfied.
Wants	Non-essential goods and services	Torch, bed, fishing rod, armchair, toothbrush	<i>Unlimited list:</i> • Life can continue without them. • Wants change throughout life. • New wants arise once others are satisfied.

Types of economies

An 'economy' refers to the way in which resources are organised to satisfy people's needs and wants. Resources are things like land, climate, minerals, property, and the people who create goods and services.

The footballers decide to pool their efforts to increase their chances of survival until rescued. Work that must be done, such as hunting, fishing or building, is shared or divided among the survivors of the plane crash.

Two members of the team find a stream from which to drink. A number of team members set out to search for food in the form of berries, seeds, fish, eggs, birds and small animals. Other team members build a fire for warmth and for cooking food. Fishing, hunting or gathering food may satisfy the hunger of the survivors. Another group builds a shelter out of palm fronds to satisfy the need for protection.

Using the island's resources in this way, the footballers create a traditional or subsistence economy. A subsistence economy is one in which people produce enough to satisfy their basic needs and some simple wants.

Having people specialise in doing what they do best is a better way of using their labour to get things done, rather than having every individual doing a little of everything. People become more dependent on one another, but the time saved by specialisation may be used for leisure or to collect a food surplus.

These benefits may eventually put pressure on the island's environment and its resources. Even the island's

renewable resources such as food and timber might be consumed (used, eaten or destroyed) faster than they can be replaced through natural means. To prevent this, one team member takes charge and decides how much food to collect; how many trees to cut down; and how tasks, food and other things are to be divided. Managing the island's resources in this way creates a planned economy. In a planned — or command — economy, the main economic questions are planned and directed centrally by an authorised group or individual.

On day three, one of the survivors discovers some friendly villagers on the other side of the island. They are willing to trade with the survivors. Since the villagers won't accept coins or notes for their vegetables, the groups enter into barter, exchanging fish for vegetables.

Australia's market capitalist economy and China's market socialist economy are two types of mixed economies that differ in their levels of government planning and control. In the preceding discussion, different types of economies are evident. They are summarised in the table below.

Main types of economies

Type		Features	Examples
Subsistence economy		The community produces only what it needs or wants, obtaining food through cultivation, small-scale farming, or hunting and gathering. There is no excess for export or sale.	Kalahari San (southern Africa); Inuit (Greenland)
Mixed economy	Market capitalist economy	Market forces largely determine major economic decisions, but with some degree of government control.	Australia, Japan, USA, UK, New Zealand
	Market socialist economy	Economic decisions and activities are mainly planned by government and partly determined by market forces.	China, Vietnam, Russia
Planned economy		Almost all economic decisions and activities are managed centrally by an authorised person or group.	Burma, Cuba, Iran, North Korea, Saudi Arabia

Economic questions

An economy can exist at different levels, beginning with a small group of people and increasing in size to encompass the whole world. At each level, different individuals or groups determine the answers to the main economic questions concerning the use of resources and the production and distribution of goods and services.

Each economy must decide:

- what goods and services to produce
- how to produce these goods and services
- for whom to produce these goods and services.

These economic decisions may be made by:

- markets (where there is competition to provide goods and services to consumers in exchange for money) or
- government (central planning) or
- a combination of markets and government (a mixed economy).

Opportunity cost

Once limited resources are committed to producing particular goods or services, those same resources cannot be used to produce other goods or services. For instance, if the footballers decide to clear vegetation to construct a sports oval, they will forgo the benefits that could have been gained from growing fruit and vegetables on that land. Opportunity cost refers to the cost involved in choosing an economic activity instead of its next best alternative.

Activities



THINK

- 1 List five goods and three services you have used in the past month. Beside one good and one service, write the name of the business that benefited from your purchase.
- 2 Think about the parts from which your selected good was made and how these parts have been put together. Identify other businesses that might have benefited from your purchase.
- 3 Describe similarities between the economic problems faced by the footballers in the island economy and those faced by people living in countries throughout the world.
- 4 Explain and provide an example for each of the following terms: (a) need, (b) subsistence economy, (c) specialisation, (d) barter, (e) renewable resources, (f) planned economy, (g) mixed economy.
- 5 Find one recent newspaper or online article that shows what is happening in the Australian economy and another showing what is happening somewhere else in the world economy. Create a table to identify three similarities or three differences between the two articles.

DESIGN AND CREATIVITY

- 6 Create your own cartoon about the economy, based on the main points in this spread.

COMMUNICATE

- 7 On the island, what advantages would a money system have over a barter system?

2.2 How the economy works



Understanding how the Australian economy works and is managed is made easier if you think of it as a game, say a football game. There are a number of participants in this game of economics, including producers, businesses, banks and various government agencies. You are also a participant — as a consumer, saver, **investor** (if you buy shares, for example), or maybe as a part-time worker.

A COACHES

The 'coaches' in the economic game include various **economists** such as Adam Smith and John Maynard Keynes, who have different views about how the game should be played. The federal Treasurer, representing the Australian government, plays a coaching role and tries to change the pace of the game or the tactics used by players, by implementing government economic policies, such as workplace reforms. Economic coaches look at the big issues of the game, such as unemployment, that may affect all the players. This big picture approach is known as macroeconomics.

The coaches also focus on smaller parts of the economy, such as businesses and consumers, studying the choices made by buyers and sellers. This focus is called microeconomics.

E FANS

All football fans and supporters are consumers. They buy tickets, pay memberships, spend money on promotional gear and follow media football programs.

F SCORES

In the game of economics, 'scores' measure things like economic growth. Good scores are important for Australia, as the performance of the Australian economy can influence Australia's **standard of living**. Overseas investors also decide whether or not to invest in Australia depending on its scores.

B GROUND KEEPERS

Just as ground keepers monitor the ground and work to provide a well-kept, level playing field, people such as treasury advisers and organisations representing business or consumer groups monitor what goes on in the marketplace and work to maintain stability and **ecological sustainability**. They influence decision-making, trying to ensure that limited resources are combined in the most efficient manner to make goods and services.

C UNIONS

To achieve their goals, workers may join trade unions and use tactics such as negotiation and strikes to pressure businesses to improve their wages or conditions. Producers also sometimes adopt extreme tactics, when negotiation fails, such as locking workers out or taking legal action against the union or workers.

D REPORTERS

Just as there are media reporters who report on a football game, so there are economic commentators, such as Kenneth Davidson or David Uren, who report on the play in the economy.

G UMPIRES

There are rules and boundaries in the economic game. Certain government agencies, such as the Australian Competition and Consumer Commission (ACCC) and Fair Work Australia (FWA), can act as umpires by enforcing the rules and imposing penalties within their defined areas.



H DECISION MAKING

Participants in the economic game, like football players, make decisions before going out into the marketplace — their 'playing field'. Resources available to economic participants can be used for a number of alternative purposes. For example, if a resource, such as a parcel of land, is used for housing, then it cannot also be used as a football oval. Economic participants regularly base their decisions on opportunity cost — the cost of undertaking one economic activity instead of its best alternative. They try to minimise opportunity cost; that is, they want to put their resources to the best possible use.

I GOALS

Football players strive to score goals. Some of the goals, or objectives, of players in the Australian economy are shown below.

- Consumers and households strive to maximise their satisfaction through the consumption of goods and services.
- Workers and trade unions strive to maximise workers' income and job satisfaction.
- Producers and businesses strive to maximise profits. (Keeping production costs low can help to maximise profit.)
- Governments strive to lower unemployment, keep prices stable (i.e. low **inflation**), increase economic growth, raise living standards, influence income distribution and keep Australia economically viable.



J TEAMS

Economic participants can form 'teams'. Some of these teams are shown below.

- Governments make up the public sector.
- Businesses (e.g. manufacturers and service providers) make up the private sector.
- Other economies that trade with Australia make up the overseas sector.
- Consumers may be members of households.
- Workers may be members of trade unions.

Activities



Student worksheet
2.1, 2.7

REMEMBER

- 1 Draw a concept map or another graphic organiser to explain how you participate in the Australian economy.
- 2 What is opportunity cost? How does it affect your use of scarce resources?

THINK

- 3 Collect two pieces of information (using media sources and the internet) that discuss some aspect of the Australian economy. For each piece:
 - identify the economic participants and any 'teams' involved
 - describe the 'play'
 - identify any economic decision making or 'goals' that may be referred to
 - comment on whether you think that 'umpires' are needed
 - analyse any other influences, such as the obvious input of 'coaches'.

COMMUNICATE

- 4 (a) Divide into small groups. Research either Adam Smith or John Maynard Keynes (coaches) and report your findings to the class by means of a poster for display. Use the Economy Professor weblink in your eBookPLUS for your research. The group poster should contain:
 - (i) details of when the economist lived
 - (ii) an outline of the economist's main ideas
 - (iii) a definition of two economic terms used in these ideas.
- (b) Follow up with a general discussion about which economist's ideas are best suited to current economic conditions.
- (c) If you are interested in exploring the ideas of other economists, research one or more of the following: Karl Marx, Thomas Malthus, Harriet Martineau, Milton Friedman, Joan Robinson, Beatrice Webb and John Kenneth Galbraith.

ecological sustainability an ability to sustain the natural balance between living things and their environment

economist a person who develops ideas about how the economy works or who investigates what is happening in the economy and makes predictions about what will happen and what actions need to be taken

inflation price rises

investor a person, company or other organisation that has placed money into something, usually on the expectation of an increased return

standard of living the quality of life measured by the amount of goods and services an individual has available for consumption

2.3 The changing face of economics



Economics is the study of the many factors that influence the production, distribution and use of goods and services. There are two main branches of economics — macroeconomics and microeconomics. Macroeconomics is concerned with the study of the economy as a whole and the issues that influence it; microeconomics focuses on the workings of an economy's separate parts.

Macroeconomics and microeconomics — key differences

Macroeconomics	Microeconomics
Study of the market as a whole, and issues that affect the whole economy (e.g. inflation, unemployment, economic growth and decline, the monetary system)	Study of how the market works in respect of particular goods and services, suppliers and the demands of individual consumers — and the factors that influence decisions.
Focused on movements and trends in an economy, such as what needs to be done to maintain full employment, price stability etc.	Focused on specific aspects, such as what is produced in an economy, how much is produced, when and where it is produced and for whom it is produced.

levels of production, buyer demand and prices in a harmonious balance.

This occurred naturally within a society; it did not have to be forced. Smith argued that governments should not interfere in business. He detailed his ideas in his book *Inquiry into the Nature and Causes of the Wealth of Nations*, one of the first to analyse how commerce had developed in Europe till that time.

Smith's ideas were later further developed by other nineteenth-century economists (now called the classical political economists) into a school of thought that centred on how markets work. These thinkers were concerned with a 'big picture' view of the economy.

The evolution of economics

The English word economics is based on two Greek words. The approximate translation of these is 'the general rules or laws involved in managing the family property or estate'.

The main economic rule that applied in Europe's marketplace by the seventeenth century was **mercantilism**. This approach measured economic success by how much capital (for example, a precious metal such as gold) a nation built up. Capital could be increased by selling as much as possible in exchange for, say, gold, while restricting what was bought from others.

Adam Smith

The Scottish philosopher and economist Adam Smith (1723–1790) disagreed with this approach; in fact, his ideas form the basis for our modern view of economics. He supported the idea of free trade and open markets, arguing that they were good for competition. He believed there were natural forces that kept

FIGURE 2

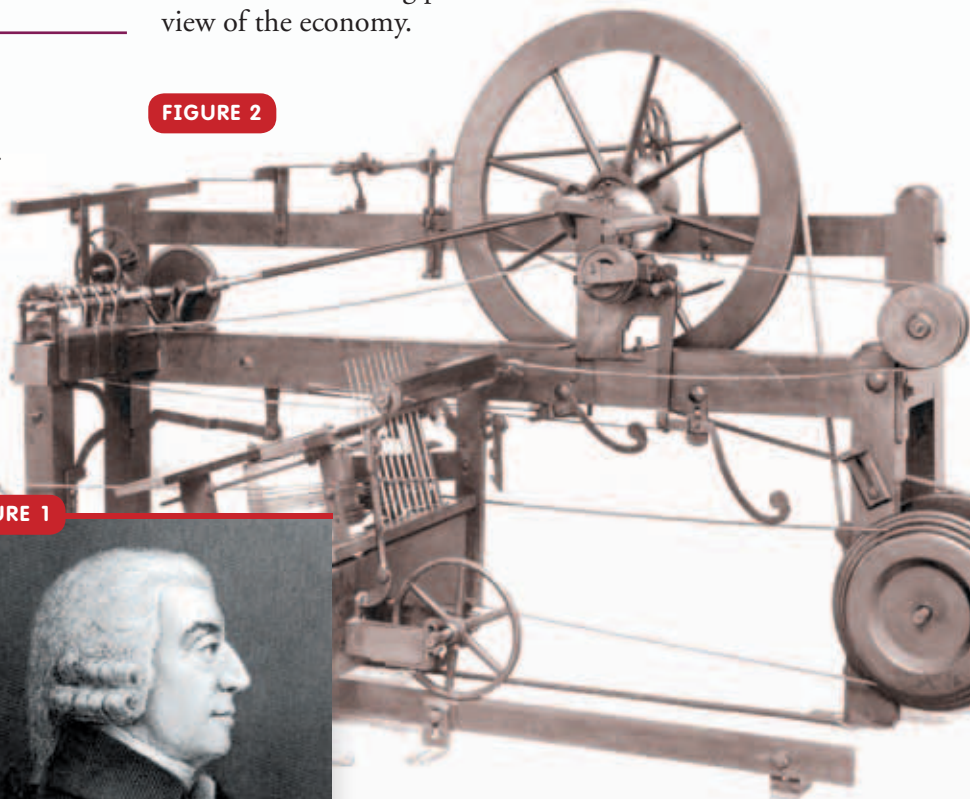
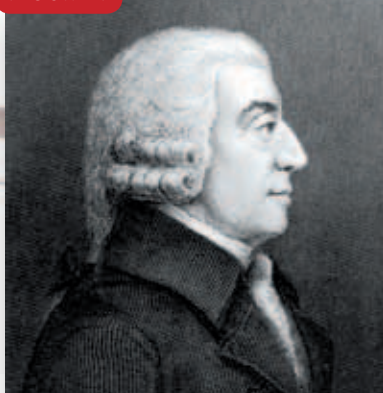


FIGURE 1



▲ Adam Smith was in favour of competition.

▲ The introduction of the spinning mule into cotton production helped to drastically increase industry consumption of cotton. Machines like this had a powerful impact on the economy of the time.

Macroeconomics and microeconomics

By the latter part of the nineteenth century, there was another shift in thinking. Economists had started focusing more on microeconomic issues (the word micro means 'small' in Greek). They were more focused on the separate parts that make up a market economy — the types of goods and services produced, the businesses that produced them, who was buying the goods and services, to name just a few.

FIGURE 3



John Maynard Keynes

Microeconomic thinking was jolted by the Great **Depression** of the 1930s. The massive and sustained deflation and widespread **unemployment** that occurred during this time devastated businesses and individuals alike, catching many economists by surprise. The event prompted economist John Maynard Keynes (1883–1946) to rethink economic theory. Keynes published his macroeconomic viewpoint in 1936 in his book *The General Theory of Employment, Interest and Money*.

▲ John Maynard Keynes, whose ideas provided the basis for a school of economic thought known as Keynesian economics

Keynes argued that overall trends in a market can be so strong as to totally dominate the economic behaviour of individuals (i.e. the economy's micro parts). The Great Depression had made it clear that self-correcting processes once thought by some economists to happen automatically had not occurred: production and employment (separate parts of the economy) had dropped sharply with nothing to check their fall. A natural market balance had not been readily restored.

Unlike earlier economists, Keynes believed that what drove an economy was not improved output, but the total demand for goods and services — the aggregate demand. Aggregate demand was something he believed governments could manipulate: policies could be developed to boost consumer demand and spending to offset trends such as inflation, unemployment and economic depression.

While both microeconomics and macroeconomics are relevant and valuable approaches to any study of economics, Keynes' views have been recently re-emphasised due to the severe global economic downturn. Many governments are doing all they can to stimulate the economy along the lines that Keynes first suggested.

depression a period during which there is a significant slump in economic activity

market a place or situation in which buyers and sellers meet to exchange money for goods and services

mercantilism an economic rule that measured economic success by how much capital (in precious metals, such as gold) a nation has built up

unemployment the state of being involuntarily out of work

Activities



Student worksheet
2.2

REMEMBER

- 1 What, in your own words, is the English meaning of the two Greek words from which the word economics is derived?
- 2 What do you understand by the term mercantilism?
- 3 In what key ways did Smith and Keynes influence thinking about the economy?

THINK

- 4 Decide whether the following decisions fall within the sphere of macroeconomics or microeconomics, justifying your decisions.
 - (a) A Reserve Bank decision to increase interest rates
 - (b) A decision by a leading coffee shop business to set up franchises
 - (c) A decision by local wheat growers to boost production levels next year
 - (d) A government decision to introduce 'work for the dole' arrangements

COMMUNICATE

- 5 Discuss in small groups in what ways you think you and your family are affected by macroeconomic and microeconomic policies. Give examples as part of your discussion.
- 6 Prepare a list of factors you think would be likely to affect the success or failure of a business you know something about. For each factor you identify, decide whether it requires a macroeconomic or microeconomic policy decision. Discuss your list, and your decisions, in small groups.

INQUIRE

- 7 Examine the issues commented on by a leading newspaper over the next two weeks. Find as many articles as you can that relate to the economy. Sort them into two categories, relating either to macroeconomics or microeconomics. Share your collection with a partner, discussing your choices and providing each other with constructive feedback.

2.4 Economic growth and development



One of the most important statistics in the game of economics is economic growth (the rate at which the economy grows). Growth provides increased living standards for people and is often used as the scorecard of a country's economic performance. The government is constantly encouraging sustainable levels of economic growth.

How economic growth is measured

Economic growth occurs when an economy produces more goods and services this year than it did last year. To produce more goods and services, a country must access extra natural, human and capital resources, or use existing resources more efficiently.

Economic growth can also occur with increased spending on locally made products by households, businesses and governments. In average terms, the Australian economy, until recently, has grown at a rate of between 3 and 4 per cent over the past decade.

The most reliable method of measuring economic growth is by calculating a nation's gross domestic product (GDP). This is the total value (expressed in dollars) of all goods and services produced across the nation in a given year.

For example, China had the fourth-highest GDP in the world in 2008. It produced goods and services worth an estimated US\$3 430 000 million.

Economic growth occurs when a nation's GDP grows at a faster rate than its population. This is most commonly measured as GDP per head of population. China has the world's largest population, numbering about 1 330 045 000 in July 2008. So, in 2008, China's approximate GDP per head of population was:

$$\frac{\text{GDP}}{\text{Population}} = \frac{\text{US\$3 430 000 000 000}}{1\,330\,045\,000} = \text{US\$2600}$$

This means that in 2008 China produced approximately US\$2600 of goods and services for every person in the country. In 2002, its GDP was only US\$963 per head of population. So, in general terms, China's economic growth between 2002 and 2008 provided more goods and services for each person to share, but by late 2008 and early 2009 this growth had slowed considerably.

Our lucky country?

People who describe Australia as 'the lucky country' point to its high standard of living (compared with that

of other nations), its laid-back lifestyle, its economic prosperity, its weather — even its protecting isolation. The phrase 'the lucky country' was coined by author Donald Horne and was the title of a book he released in 1964. He did not, however, use these words as a compliment. He wrote: 'Australia is a lucky country, run by second-rate people who share its luck'. For him, it was more important that Australia be a 'clever country'.

Australia has massive reserves of minerals, such as alumina, iron ore and uranium, and extensive supplies of energy resources, such as natural gas. It exports more coal than any country and future trading prospects in mineral and energy resources with countries such as China look promising.

Over the last decade or so, our governments have continued efforts to make Australia's manufacturing sector more competitive. Organisations such as Qantas and the Commonwealth Bank have been **privatised**, **corporate taxes** have been cut back, and foreign investment has been encouraged. Many economists consider that clever decisions are being taken for Australia's economic future.

Recession and depression

If an economy is not experiencing economic growth over a continuous period of six months or longer, it is said to be in recession. During a **recession**, living standards can decline because unemployment increases and people have trouble paying debts. People reduce their spending on goods and services to compensate.

In an economic sense, a depression is a deep and prolonged slump in total business activity. Both buying and selling drop during a depression and this leads to a decline in production and the GDP.

At the same time, prices, income and employment also fall. This kind of depression can hit a single industry (for example, mining, farming or manufacturing), a region such as particular rural communities, a whole country or even the world.

FIGURE 1



In 2007, Australia's GDP was about US\$908 billion and India's was about US\$1099 billion. But when these figures are divided by the relevant populations, Australia had a GDP per capita of US\$43 163 and India just US\$973.

During a depression, unemployed people have less money to spend and this leads to further falls in sales, production, income and employment.

GDP per capita of some developed and some developing countries in 2007

Country	GDP per capita (\$US) *
Australia	43 163
Belgium	42 618
Chad	734
Ethiopia	252
Iceland	64 548
Kenya	780
Liberia	198
Nepal	377
Norway	83 485
Tajikistan	578
USA	45 725

*Based on IMF figures

FIGURE 2



The Great Depression

The Great Depression began in October 1929, when values of stocks and shares in the United States fell sharply. This continued for nine years, flowing on to affect many other countries. The most severe period of unemployment in Australia came in 1931–32, peaking at over 19 per cent.

Sustainable economic growth

Not everyone agrees that Australia's economy must always grow (as described earlier) and remain focused on maximising production and consumption.

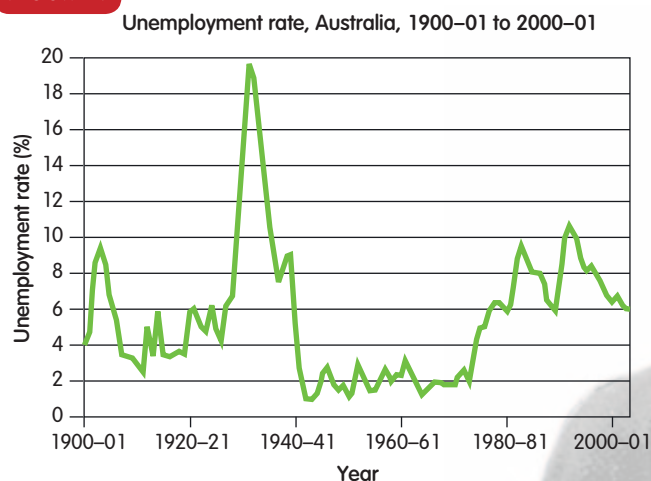
Critics argue that a 'lucky country' such as Australia is overusing its share of the world's resources and suggest that the high standard of living that many Australians enjoy is at the expense of others in the world. They point, too, to the environmental damage that can follow the **exploitation of resources**.

FIGURE 3

We have a very lucky country, and like much of the Western world we enjoy our living standards because we incinerate carbon and we send it sky high into the upper atmosphere, and the impact of that is heating our planetary home ... I can think of no example of a country voluntarily winding back living standards. It's unprecedented. It's very difficult. I don't think it's going to be done until it's forced on us. I tend to think that there's going to have to be dramatic climate change, or a speeding in the melting of the polar icecaps ... before the world will say: 'This is now an emergency'.

▲ Views expressed in 2000 by Bob Carr, then premier of New South Wales

FIGURE 4



These critics argue that Australia would be a 'clever country' if its economy reflected more concern for the planet's future. For them, priorities such as developing **sustainable industries**, recycling,

▶ An unemployed man searches for work during the Great Depression.

FIGURE 6

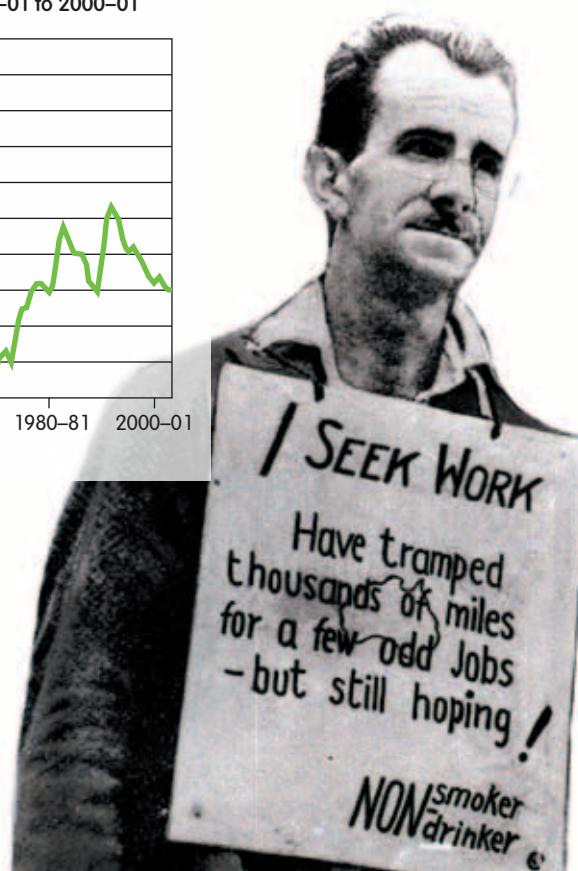


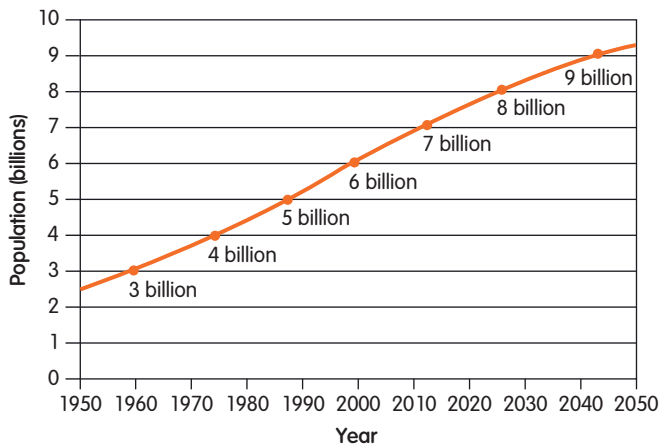
FIGURE 5



▲ Many argue that nonpolluting solar energy is the way of the future. Photovoltaic solar panels often generate much more energy than their owners need.

FIGURE 7

World population: 1950–2050



Source: US Census Bureau, Population Division.

reducing existing environmental damage and developing new forms of non-polluting energy are more the economic priorities of a truly lucky country.

Australian politicians are increasingly being pressured to address the environmental problems created by a lifestyle that depends on strong economic growth.

World population and the economy

World population doubled in just over 40 years, from 3 billion in 1959 to 6 billion by 1999. The US Census Bureau's latest projections imply that population growth will continue a little more slowly into the twenty-first century, with world population projected to grow from 6 billion in 1999 to 9 billion by 2043, an expected increase of 50 per cent.

Such a large increase in the world's population will place huge additional demands on the world's natural, capital and human resources. Without improvements in efficient use of resources, widespread use of nonpolluting technology and recycling of so-called waste materials, our environment will deteriorate rapidly, shortages of resources will drive prices to unseen levels and living standards will decline.

- The world's population over the next fifty years will have a significant impact on the economy. Australia and all other countries will need to take important steps to ensure that economic growth and development do not do irreparable harm to the environment.

To avoid such disastrous consequences, governments, businesses and individuals must plan now to adopt new, sustainable approaches to the use of our planet's resources. The economic problem of scarcity will become much more pronounced. Things such as sufficient food and clean water, that were taken for granted in times when the world's human population was smaller, will need careful planning and management if they are to be readily available for all, without affecting other parts of our ecosystem. For example, with a continuation of lower rainfall, Victorians may overcome the water scarcity with harsher water restrictions and the building of a large desalination plant, but even this will not be sufficient if Victoria's population continues to grow rapidly. Also, the effects of the desalination plant on the environment due to its energy requirements and by-products, will not be insignificant. Future planning will need to include rainwater collection, wastewater treatment and recycling, use of treated grey water, and other conservation approaches to address this issue.

Activities

Student worksheet
2.3

REMEMBER

- 1 Define the following terms:
 - (a) gross domestic product
 - (b) economic growth
 - (c) recession.
- 2 (a) Why is Australia sometimes called the lucky country? What does this mean?
(b) Explain the links between economic growth and resource use. Why are these links significant for ecological sustainability?
(c) Distinguish between a depression and a recession.
- 3 Draw a flowchart to describe the economic factors that lead to a depression.

THINK

- 4 Why do you think exports are so important to the maintenance of a healthy GDP?
- 5 Draw a concept map that outlines some factors that contribute to, and benefits that result from, economic growth.
- 6 Use the GDP Per Capita weblink in your eBookPLUS to suggest why the International Monetary Fund (IMF), World Bank (WB) and Central Intelligence Agency (CIA) have different figures for the ranking and GDP per capita figures for any given country.

corporate taxes taxes paid by companies

exploitation the act of taking advantage of a situation for personal gain

privatised to change from being government owned to being privately owned

recession a downturn in an economy that follows two or more quarters of negative growth; usually less severe than a depression

resources what goods and services are produced from, such as raw materials, labour, machinery

sustainable industries industries that can be conducted in a way that minimises long-term damage to the environment and ensures natural resources will continue to be available for future generations



2.5 SkillBuilder

Working with spreadsheets

What is a spreadsheet?

Spreadsheets, such as those created using Microsoft Excel, consist of columns and rows into which data are placed. Spreadsheet programs provide a fast and easy way to manipulate data in tabular and graphical formats (arrangement of data).

The data can be sorted (a fast process of arranging data in a set order, using different criteria); formulae (mathematical equations) can be applied to the figures in columns, rows or individual cells, and can be used to automatically calculate missing or additional information from known data. With the formulae

in place, changing the contents of one cell can cause automatic recalculation of other cells, saving time and effort when data need to be kept up to date.

Data can also be imported (transferred from one location to another in a computer or from one computer to another in a computer network). This saves time when completing spreadsheets or changing formats.

Why are spreadsheets useful?

It is important to be able to use spreadsheets in order to set data out in a clear and logical format. It is a very useful skill when you research, plan, keep records, investigate, or prepare presentations and reports.

How to construct a spreadsheet

PARTS OF A SPREADSHEET

When you select and open the spreadsheet program icon on your computer, Excel creates a book, initially with three worksheets, each consisting of a rectangular grid of cells (rectangles) in columns and rows, framed at the top, beneath the menu and tool bars, by upper case column-letters in alphabetical order and by row-numbers on the left. This allows you to refer to any cell by a unique name, consisting of its column-letter followed by its row-number. For example, in the screen capture at right, the Australian flag is located in cell B19.

STARTING A SPREADSHEET

You can construct a spreadsheet by starting with an empty worksheet or by using a suitable template or previous worksheet as a start. Data can be entered into each cell individually or you could import it from sources such as tables, other spreadsheets, graphs or even text. In addition, by inserting a function (formula) you can allow the program to create new data.

Look at the screen capture at right. Data for columns A, B, C and D were electronically copied from an online source, and then pasted, in one go, into an equal number of cells, columns and rows in the spreadsheet. However, the column widths and row heights needed to be changed to fit the pasted data.

One way to change column widths or row heights is to:

- 1 Click in the column-letter or row-number area to select the whole row or column.
- 2 'Release' the mouse and move the cursor (pointer symbol) carefully until it changes shape to a two-way arrow crossed by a line. (It changes on reaching the edge of the letter or number reference area).

Rank	Flag	Country	GDP (\$US)	Population	GDP per capita (\$US)
1		World	54,620,000,000,000	6,525,170,264	8,371
2		European Union	16,620,000,000,000	486,642,177	34,152
3		United States	13,840,000,000,000	298,444,215	46,374
4		Japan	4,384,000,000,000	127,463,611	34,394
5		Germany	3,322,000,000,000	82,422,299	40,305
6		China (PRC)	3,251,000,000,000	1,313,973,713	2,474
7		United Kingdom	2,773,000,000,000	60,609,163	
8		France	2,660,000,000,000	62,752,136	
9		Italy	2,105,000,000,000	58,133,509	
10		Spain	1,439,000,000,000	40,397,842	
11		Canada	1,432,000,000,000	33,096,932	
12		Brazil	1,314,000,000,000	188,076,227	
13		Russia	1,286,000,000,000	142,893,540	
14		India	1,099,000,000,000	1,095,351,995	
15		South Korea	957,100,000,000	48,846,823	
16		Australia	908,800,000,000	20,264,082	
17		Mexico	893,400,000,000	107,449,525	
18		Netherlands	768,700,000,000	16,491,461	
19		Turkey	663,400,000,000	70,413,958	
20		Sweden	455,300,000,000	9,016,596	
21		Belgium	453,600,000,000	10,379,067	
22		Indonesia	432,900,000,000	245,452,739	

▲ Data derived from the *CIA World Fact Book 2007*

- 3** Click and hold as you then drag the column or row boundary (edge) in the required direction.

The GDP figures in column D were modified by the addition of six noughts to each cell number, to take into account data that were originally in millions of (US) dollars. (Doing this allowed the formula for column F to remain simple.)

Each figure for column E was inserted individually into its appropriate cell from another site, which displayed national populations in a different order.

Column F was created by inserting a simple formula in cell F4 and then copying it into other cells using a 'shortcut', to create the figures for GDP per capita. (This shortcut is explained later.)

INSERTING A FORMULA

GDP per capita is obtained by dividing the GDP of a country by its population.

So, for example, the formula for the GDP per capita for China is:

Cell D9 (GDP in 2007) divided by cell E9 (Population in 2007).

$$\text{That is, } \frac{D9}{E9} = \frac{\text{GDP in 2007}}{\text{Population in 2007}}$$

There are several ways to insert a formula. (See Help in the Menu Bar.) One way is as follows:

- 1** Select the cell for insertion of the formula, for example F9, and type = in the cell.
- 2** Then type the names of the cells involved and include the symbol for the required operation, + (addition), - (subtraction), * (multiplication) or / (division), into the correct place in relation to the cell names. In this case the formula is = D9/E9.
- 3** Click Enter. The computer calculates the GDP per capita and inserts it into the selected cell.

You can transfer this formula to cells to the right or cells below using this shortcut:

- 1** Click the cell which has the formula.
- 2** 'Release' the mouse and move the cursor carefully to the lower right-hand corner of the cell.
- 3** When the cross mark changes as it reaches this position, click again and hold.
- 4** Drag the cursor down (or across) the adjoining cells into which you want to place the general formula. (In this case click and drag down through the remaining empty cells in column F.)
- 5** Release the mouse. The computer automatically will change the formula to suit each cell, calculate the result and display it in its appropriate cell.

To learn about other ways to insert formulae, types of formulae and their use, read the information in the Help menu.

CHANGING THE FORMAT OF A CELL

In order to make the figures in column F whole dollars only, an adjustment was made to the format (configuration) of the cells. The steps to do this are:

- 1** Select the required cells.
- 2** In sequence, click on: Format / Cells... / Number / Currency.
- 3** Reduce Decimal places to 0 and click the OK box.
- 4** Many other format changes can be made to cells, columns, rows or worksheets. (See Help menu.)

SORTING INFORMATION IN A SPREADSHEET

The data for the twenty selected nations in 2007 has been sorted, in descending order, by national GDP in 2007. You can also choose to sort the data alphabetically by countries, by population or by GDP per capita, and change it into an ascending order. (This will be explained in the exercise that follows.)

Developing my skills

Click on the GDP Data Worksheet link in your eBookPLUS to download the GDP data worksheet for this chapter.

Use the spreadsheet to answer the following questions:

- 1** Which country had the highest GDP in 2007?
- 2** Which country had the highest population in 2007?
- 3** Type in a formula to obtain Mexico's GDP per capita for 2007. What was Mexico's GDP per capita in 2007?
- 4** Insert the formula you created for Mexico's GDP per capita into the remaining cells. What was Australia's GDP per capita in 2007?
- 5** Now, sort the data by the GDP per capita. To do this you must:
 - (a)** Sequentially select: Data / Sort / GDP per capita 2007 / descending.
 - (b)** Click OK to re-sort the data.
- 6** Which country had the highest GDP per capita in 2007?

2.6 How you affect the economy



As participants in the economic game, we all frequently interact with other participants. Because we seek to satisfy our needs and wants, some participants work to **supply** the required goods and services to meet this **demand**. This continual cycle of demand and supply creates ongoing **economic activity**. Our economic decisions affect other people's employment, income, spending ability, and capacity to produce **goods** and **services** for our consumption.



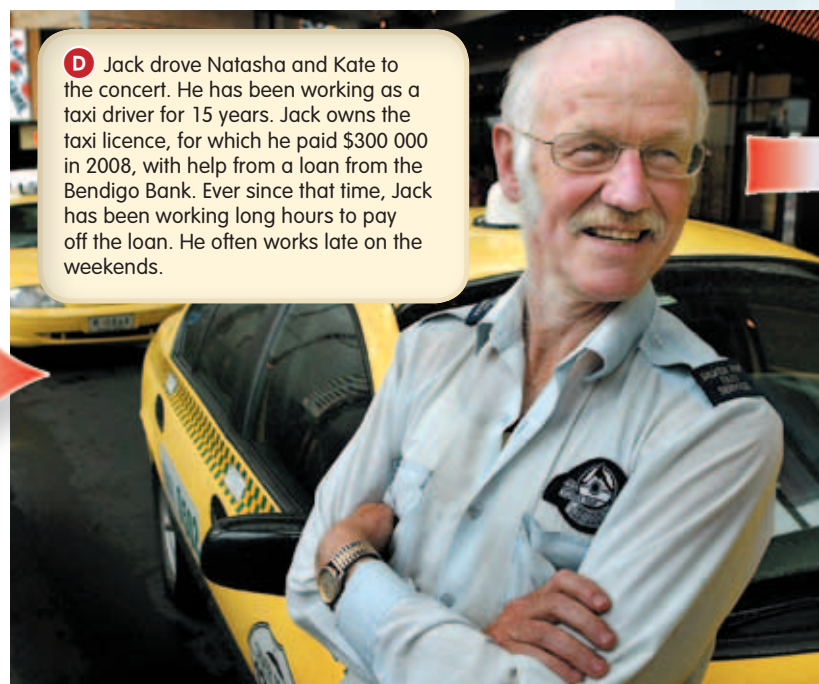
B The manager of a JB Hi-Fi store, Natasha, sold Michael the CDs and DVDs on which he spent his first wage. Natasha has been working at the store for three years, and she cannot believe how busy it is becoming. The demand for electrical goods, CDs and DVDs is huge.



A Michael, a student, has discovered that his application for a position at Bakers Delight was successful. Michael hopes that he will work four shifts a week so that he can earn a reasonable wage.



C Last Saturday, Natasha and her sister Kate went to the Delta Goodrem concert. At the concert, Kate purchased the promotional T-shirt. The T-shirt was made overseas, so no Australians were employed to make it. A portion of the money Kate pays will go to the band, to the producers of the clothing in Asia and to the person who sells them — Ali. Ali is hoping that all of the T-shirts sell, because he will receive only 1 per cent of the sales.



D Jack drove Natasha and Kate to the concert. He has been working as a taxi driver for 15 years. Jack owns the taxi licence, for which he paid \$300 000 in 2008, with help from a loan from the Bendigo Bank. Ever since that time, Jack has been working long hours to pay off the loan. He often works late on the weekends.



F John is in his final year of a Bachelor of Environmental Studies. By sharing rented premises with others, John's rent and bills (paid for by his father) are lowered. Despite being careful with his money, his living expenses are not always covered. John is looking for ways to cut costs, or earn an **income**. He applied for a job at Bakers Delight, but a younger student, Michael, got the job. John is now thinking of approaching Woolworths and some of the local restaurants.

E The loans officer Jack dealt with at the Bendigo Bank also approved a loan for dairy farmer Vince. The income generated by Vince's farm was low last year, and Vince asked for some extra cash until his cash position improves. The loan will be used to purchase some new equipment for the farm as well as cover some living expenses. He is hoping that his farm will benefit from spring rains, and that he will then be able to pay the loan back. He supports his son, John, who is currently studying at university in Melbourne. John shares a house in Brunswick with three friends.



Activities



Student worksheet
2.9

REMEMBER

- 1 List the contributions that each person described in this spread makes to the economy.

THINK

- 2 Construct a mind map to show the flow-on effects for our economy if Australians generally decreased their spending on goods and services by 50 per cent. If available, use ICT software such as Inspiration.
- 3 Nick is an accountant working for himself in Brunswick. He earns \$100 000 per year preparing tax returns for his customers as well as providing financial advice. Nick has a mortgage on his house, and spends some of his money on going out, clothes and general living expenses. The remainder of his money is saved.
 - (a) Explain how each of the activities Nick undertakes affects others in the economy. Your answer should include reference to his customers, banks, restaurants, shops etc.
 - (b) If Nick, and others like him, decided to save more money by eating at home rather than eating at restaurants, explain how this decision would affect the restaurants he usually visits and those businesses that supply them.

COMMUNICATE

- 4 Write two or three paragraphs outlining your thoughts about how your own economic decisions might affect others in the Australian economy.

SELF-DISCOVERY

- 5 How importantly do you value buying goods that are made in Australia? Give reasons to support your opinion.

demand the quantity of goods and services that consumers are willing to buy at a given price

economic activity the supply of and demand for goods and services in an economy

goods merchandise, commodities for sale or trade; items that you can see or touch

income money received on a regular basis from work, property, business or welfare payments

services actions done for you by others

supply a quantity of goods and services that producers are willing to sell at a given price

2.7 Consumer behaviour

On-field play



As consumers, we buy a range of goods and services to satisfy our needs and wants. Their prices vary according to market forces. Some products are in short supply, causing prices to be high, while others are plentiful and cheap. For example, a 1972 Rolls Royce is a rare and expensive car, while a 2009 Commodore is easily available and is a cheaper car. This principle can be applied to a range of goods and services — for example, AFL collector cards.

From: lachlanl@ooahh.com.au
Message: Urgent
Date: 30 June 2009

Hey Hannah

My sister said that I should ask you about my footy card collection because you do Economics. I buy and collect cards for 2005. My favourite teams are Geelong and the Sydney Swans. I am finding it difficult to get some of the redemption cards.

I swap cards with my friends in Year 9. Everyone is happy to swap the common cards, and after a month I had all of the Sydney and Geelong common cards.

My mate Matthew has a signature redemption card for Barry Hall. I asked him if he would swap it for three 'mark of the week' cards, but he wanted to keep it. I thought I offered a good deal, and Matthew doesn't even barrack for Sydney! My dad said I should check eBay, but the price was too high. I put in a bid for \$150, but the Barry Hall card sold for \$210.50.

Dad bought two boxes of the cards (these have 36 packets), but I still need:

- AFL mark of the week — David Wojcinski
- footy face idols — Adam Goodes
- signature redemption — Barry Hall
- signature card — Barry Hall

I can't understand why it is so difficult to get these cards. If I can complete my set, I will be the only student in Year 9 to do it. I don't care about the other teams — I only want to have all the cards for Geelong and Sydney, so why is it so hard? Can you please tell me how I can do it?

Lachlan



From: Hannah@coolmail.com.au
Message: Keep trying
Date: 2 July 2009

Hey Lachie

We need to establish some basics before I can explain this economics concept.

First, what is a market?

A market is a situation or a place where buyers and sellers meet to buy and sell goods and services at an agreed price. This used to be face to face. However, the introduction of technology has meant that a market can have a global location now. There are different markets for different products such as cherries, labour and oil, for example.

Second, how does a market operate?

Along with your friends in Year 9, you have been both a buyer and seller in the market for AFL collector cards. Your aim is to hold all the cards for your two clubs.

Third, what is the market for AFL collector cards?

The 2005 series of collector cards was sold in packets of nine with each packet containing a random selection of cards, but they always included:

- common cards
- a die cut parallel set card.

There are 162 common cards to collect, and 160 footy face die cut parallel set cards. There are many of these, and that is why you have found them easy to swap. The supply has been high and there are **surplus** cards available. Each pack can have up to eight. With so many available, the demand is low and, therefore, the price is cheap. You can either swap them for a player that you want, or buy them at a low price. This sends the signal to consumers that there are lots of these goods available and that the price should be low; for example, a common card player may be exchanged for another common card player.

The signature card and the mark of the week cards are a completely different story. For example, there are only 100 signature cards available for each player — that is, 100 cards for the entire season. Your friend Matthew was lucky to get one, and his Barry Hall card would be worth a lot of money.

Supply of these cards is low, as there are only 100 available. Demand is high, though, as there are thousands of people collecting them. These two forces operate to send the market the signal that these cards will sell at a higher price than the common cards. There is a **shortage** of this particular card, creating competition between collectors to buy it — the more people who want the card, the higher the price that is paid for it. Your friend Matthew probably knows that the card is rare; that is why he would not swap it for those three cards you offered him. He may be waiting for a higher price, and will probably get it.

Keep trying on eBay, Lachie, but I think you will have to be prepared to increase the price you are willing to pay for these cards.

Hannah



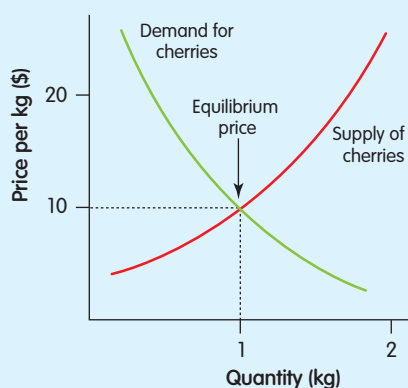
SkillBooster



Reading a supply and demand graph

In economics, line graphs are often used to show the market (or the consumer–producer relationship) for a particular good or service. The graph below shows the relationship between the supply of cherries by producers and the demand for cherries by consumers.

The axes provide the measurement of the relationship: 'y-axis' price (dollars) and the 'x-axis' quantity (quantity supplied and quantity demanded). Where the two lines intersect is the point at which both producers and consumers are willing to exchange a kilo of cherries for \$10. It is sometimes called the 'equilibrium price and quantity'.



REMEMBER

- 1 Define the following terms: market, demand, supply, surplus, shortage.
- 2 Explain why common cards are easier to collect than signature redemption cards.

THINK

- 3 What is a fair price for a signature redemption card? How much would you pay? Explain your answer.
- 4 How will Lachlan achieve his goal of collecting all the cards for his teams?
- 5 Does the price of a good always reflect its true value? Explain.
- 6 Consumers want to pay as little as possible, whereas producers want to charge as much as possible. Explain how the market resolves this situation.



Reading a supply and demand graph

- 7 Cherries are grown in spring and summer with a market that lasts for a few weeks of the year. The graph in the SkillBooster relates to the demand and supply for cherries in the month of December. Use it to answer the following questions.
 - (a) In early December, the average price of cherries is \$20 per kilo. Use the graph to explain whether the demand for cherries was high or low.
 - (b) The price for cherries drops to around \$8 per kilo mid season. Why did this happen?
 - (c) If more cherries were available so there was a surplus of this product throughout the month, what might the supply and demand graph then look like? What would happen to the price over the month?
 - (d) Explain how buyers (consumers) and sellers (producers) react to increases and decreases in the price of cherries.

ICT

- 8 Write a word-processed short story describing how the actions of buyers and sellers of cherries determine the price depicted in the graph opposite.

COMMUNICATE

- 9 Find out how buyers and sellers interact when using eBay. Find an example on eBay associated with any Australian or international sport (male or female) and explain the interaction that takes place during the sale.

shortage a situation in which there is too little of a good or service available compared with what consumers want to purchase

surplus amount by which revenue exceeds expenses (profit); a situation in which there is too much of a good or service available compared with what consumers want to purchase

2.8 Ethical considerations



Every day we spend money in order to satisfy our needs and wants, creating economic activity and **economic growth**. It is easy to appreciate that our decisions about the products we choose to purchase affect the Australian economy and environment; however, what may not be so obvious to us are the effects that our purchasing decisions have on people living in other countries, on the global environment and on animals. The methods used by producers to **manufacture** goods and services may not always be **ethical**.

A TRENDEE

Trendee is a global organisation that produces clothing and sporting equipment. It has been operating for 30 years. Trendee produces all of its goods in Asia because of the cheap labour that is available in these countries.

Currently, children as young as eight years old are producing Trendee's soccer balls in India. They work for \$3 per week. They can manufacture large quantities of this product efficiently, as their small hands can produce the careful, tiny stitching required.

It costs Trendee \$8 to make a soccer ball, including materials, labour and packaging. The latest soccer ball, Gee Indoor/Outdoor, has a retail price of \$50.



B SONJA COSMETICS

The demand (by both men and women) for cosmetics, soaps, fragrances and personal hygiene products has increased enormously over the past five years. New businesses have emerged to meet this demand.

Sonja Cosmetics is a company based in Italy. It tests its products on animals to ensure that they are safe for human **consumption**.

For its new range of makeup and moisturisers, demand has been so high that local importers of Sonja Cosmetics have increased their orders.



C COLD COMFORTS

Ng has purchased a new car and, despite a hot summer with temperatures reaching into the 40s, he has not used his air-conditioning unit. Ng worries about the environment, and the hydrofluorocarbons (HFCs) that are building up in the atmosphere, adding to global warming. Ng would like others to follow his lead. He argues that winding down the car window instead of using the air conditioner will make a difference to our environment.

There are many other products that cause HFC levels to rise, including the fridge and freezer.



D CURRENT LABELLING LAWS

Australian products must indicate that they have been tested on animals. However, imported products may not clearly indicate the extent of testing. For example, packaging on imported products may indicate 'not tested on animals' when in fact the final product, but not some or all of the ingredients, has been tested on animals (or vice versa).

E COFFEE ANYONE?

Alfonso has a coffee farm in Brazil that he operates with his family. The farm has expanded significantly over recent years; however, Alfonso still finds it difficult to make ends meet. The money he makes often does not cover the costs of production, nor is it enough to pay for the family's basic needs.

The price of coffee is set by the New York Coffee Exchange and is presently low, despite the huge global demand for coffee beans. Alfonso's farm is still small compared with some other coffee farms in Brazil, so he is required to sell his beans to a middleman, who often pays below market price. It is estimated that, despite consumers paying around \$3 for a cappuccino, only 3 cents goes to the farmer who has grown the beans.

The price of coffee is expected to continue to rise to around \$5 a cup, yet farmers like Alfonso continue to be poor.

F ENVIRONMENTALLY AWARE COLLEGE

Concerned with the waste that students leave at school every day, the principal of Environmentally Aware College has introduced a curriculum program that encourages students to recycle. Students dispose of their waste using a number of bins designated for garden matter, paper, bottles, cans and rubbish. Each year level is responsible for particular areas of the garden, where the garden matter is added to the compost and the compost spread onto the garden.

Students use laptops so that the volume of paper used is reduced. They email teachers their work, and all activities and information are distributed via the school's intranet.

consumption the act of using goods or services
economic growth growth of an economy as measured by recognised factors such as the total value of goods and services produced in a given time (gross domestic product)
ethical in line with agreed principles of correct moral conduct
manufacture to make goods and services from raw or processed materials

Activities



REMEMBER

- 1 Using examples, explain why businesses often use developing countries as a manufacturing location.
- 2 What reason is given for the need to test products on animals?

THINK

- 3 Referring to the current labelling laws with respect to animal testing in Australia, answer the following questions.
 - (a) Explain why the labelling on imported products may not always reveal the full picture.
 - (b) Do you think these labelling laws are adequate? Give reasons for your answer.
 - (c) Write a set of labelling laws that you think are appropriate to cover the issues in this spread.
- 4 The scenarios represented in this spread are fictitious, but representative of real-life situations. In pairs, discuss the ethical dilemmas associated with each of these, clearly identifying your own views on these issues.

Reflect afterwards to what extent your views were changed by this discussion.

- 5 Do you think your values and ethics are able to influence the way products are manufactured? Explain.

COMMUNICATE

- 6 In groups, discuss the argument made by some large companies that they would be required to charge more for their products if they did not use cheap labour. Explain your findings to the class.
- 7 As a class, discuss what you think it means to be an ethical consumer or producer. Give examples.

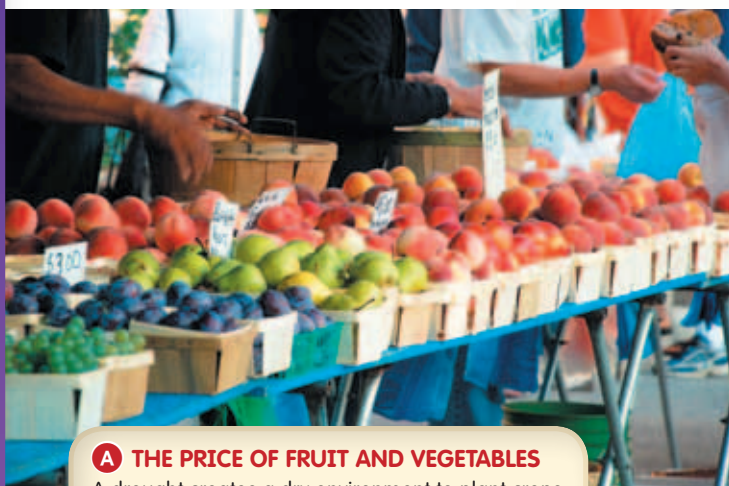
DESIGN AND CREATIVITY

- 8 In groups, prepare an advertisement that encourages students to buy recycled paper products. Indicate how you plan to influence consumer choice.
- 9 Prepare a detailed plan of a new product that is environmentally friendly and that follows ethical guidelines for production. Identify the costs and benefits of producing this product. Explain how your product will positively affect the Australian economy.

2.9 The impact of drought on the economy



We rely on our **primary industry** to grow the food we eat. The lack of rain in most parts of the country has, therefore, had effects that have caused ripples throughout the Australian economy. Over the last decade, drought has been a serious and persistent concern for many parts of Australia. From the price of food through to the effects on the farming community, a drought means more than just dry dirt.



A THE PRICE OF FRUIT AND VEGETABLES

A drought creates a dry environment to plant crops and grow fruit and vegetables, affecting supply of these products. Although demand for them remains steady, if not growing, the supply of these products is lower than the needs of consumers, creating more competition for the limited supply of the products. This pushes up the price.

The drought affects consumers who live in the city in other ways. By having to pay more for their groceries, they have less **disposable income** to spend on other wants.



B MEAT AND DAIRY PRODUCE

A lack of rain results in less grass for the animals to feed on. This means that farmers have to feed their cattle by hand, something that is both time consuming and expensive. At the height of summer in a year of drought, the price of grain can sometimes double or triple in price. This means that not only the cost of producing meat and dairy products is significantly higher, but also the possibility of losing animals increases under these drought conditions. Farmers have a few options:

- keep the best breeding stock at home and pay the additional costs of food and water
- sell the breeding stock for slaughter
- relocate the animals to an area that has better access to food and water.



C RURAL TOWNS

As farmers reduce their **expenditure** on non-essential items, it is often the businesses in the nearby towns that are the first to feel the squeeze on the economy. Reduced expenditure on wants such as televisions, cars and clothing dampens local business **profits**. Some businesses may continue to operate under these circumstances and have the capacity to absorb the reduced income and, therefore, lower profits, until conditions improve.

Others may relocate to more sustainable areas. Some owners may close the business and take up alternative employment.





D THE FARMING COMMUNITY

Higher costs and lower incomes have made life difficult for farmers. The costs associated with maintaining a farm go well beyond the feeding of animals, and can include items such as fencing, maintaining machinery, delivery costs, water and feed, agistment (using another farmer's land to keep the animals), weeding and maintaining the land, and veterinary bills.

With less disposable income available for personal expenditure, the farming community typically reduces its demand for goods and services. However, the community still has essential needs that must be satisfied and, if there is insufficient income to cover this expenditure, credit facilities are often used to cover periods when income levels drop. During a drought, farmers can often fall heavily into debt as they struggle to make ends meet.



E OUR EXPORTS

Australian farmers have a market that exists beyond the borders of this country. It is important that the best quality meat, dairy, grains, and fruit and vegetables are exported to ensure that overseas countries continue to buy from our farmers.

This export situation is made more difficult by drought. As these products leave local markets, the prices in Australia rise, as consumers compete for the remaining available goods. It is difficult for farmers to increase the price of these products for overseas countries, as they must compete against other farmers in countries such as the United States and New Zealand to sell their goods.



F ROLE OF THE GOVERNMENT

Governments sometimes compensate farmers for part of the loss of their incomes and increased expenditure caused by the drought. As governments are unable to rectify the causes of a drought, they need to play a supportive role in order to help the country maintain a productive primary industry.



Activities



Student worksheet
2.5

REMEMBER

- 1 Describe the impact of drought on the price of fruit, vegetables and meat in Australia.
- 2 What options are available for meat producers in a drought?
- 3 What impacts can drought have on the economies of rural towns?
- 4 What roles can governments play in assisting drought-affected farmers?

THINK

- 5 Predict how a drought might affect the price of water for farmers.
- 6 What impact might the end of a drought have on the price of fruit, vegetables and meat for both export and local markets?
- 7 Imagine you are a beef farmer who sells beef to local and overseas butchers. You have 100 specially bred animals that totally, in good condition, are worth \$80 000. The drought has left your pastures with nothing for your livestock to eat; so with no rain in sight, you believe your options are to:
 - (a) pay \$8 per head per week to relocate them to a better farm for 3 months to reach peak quality for sale
 - (b) sell some or all of the cattle now, for an average of \$500 per head, depending on quality for sale
 - (c) buy fodder and hand feed at a cost of \$20 per head per week for 3 months before selling at prime
 - (d) any combination of the above.
 After identifying the costs and benefits involved in each option, make a decision and justify your selected option.

COMMUNICATE

- 8 Working in small groups, investigate a farming community in a drought area closest to where you live and find out the following information:
 - (a) What are the current prospects for rain? How long do farmers think the drought will continue?
 - (b) How do the farmers compensate for a lack of rain?
 - (c) When the rain does come, how might it affect the amount of produce they can grow?
 - (d) How do the families cope when there is little rain and less capacity to earn an income?

ICT

- 9 Compile the findings of your investigation into a short word-processed report.

disposable income income that remains available for spending after deductions for taxes and other obligations

expenditure money outlaid to procure goods or services

primary industry those businesses in which production is directly associated with natural resources

profit excess of revenues (money received) over outlays (money spent)

2.10 Managing the economy

Like coaches in a football game, governments and their representatives in Australia manage the economic play between the various participants. They interact by imposing taxes and by spending money in the economy. This interaction is managed through a budget. The government may choose to keep a balanced budget, in which spending and expenses are around the same. Governments may plan for a surplus budget, in which income is greater than spending, or choose to spend more money than they receive, in a deficit budget.



Government income

Governments in Australia receive their income from taxes and charges on people. The federal government raises money through income tax, in which a percentage of each Australian worker's earnings is given to the government.

Since 2000, the federal government has also had a goods and services tax (GST) added to the cost of most goods and services sold. Other governments in Australia also raise their own income. For example, each state government imposes taxes on businesses through **payroll tax**. State governments also receive income through tolls on roads and from traffic fines. Local governments raise the bulk of their income through rates. These are fees placed on each property within the council area.

Income tax rates from 1 July 2009

Taxable income (\$)	Tax rate %	Tax payable (\$)
0–6 000	0	Nil
6 001–35 000	15	Nil + 15% of excess over 6 000
35 001–80 000	30	4 350 + 30% of excess over 35 000
80 001–180 000	38	17 850 + 38% of excess over 80 000
180 001 +	45	55 850 + 45% of excess over 180 000

Speed it up or slow it down?

Governments use the money they collect to provide community services such as schools, roads, and police and defence forces. By choosing to build a new freeway, a government creates a number of jobs for suppliers of goods such as concrete, bitumen, steel reinforcement, drainage pipes and road signs. Service providers that benefit from a new freeway project are engineers, drafters, line painters and machine operators.

When a government spends money, it stimulates the growth of an economy. Jobs created by government

FIGURE 1



- ▲ Governments provide community benefits using money from taxpayers.

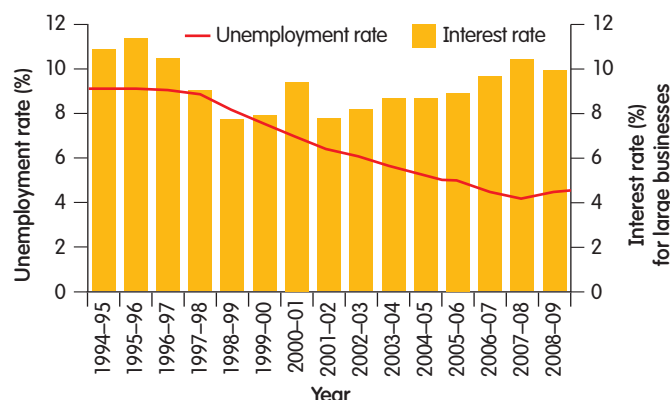
projects provide workers with an income. The workers then use their incomes to purchase goods and services, which in turn creates more employment and growth. A government may deliberately choose to send its budget into deficit by spending more money than it receives to help create this growth in an economy.

The government (along with the Reserve Bank, discussed later) keeps a close check on the activity within the economy. The budget prepared by the government is often in response to the level of economic activity as well as to the demands of its other responsibilities, such as managing the environment, national security, law and order, and promoting Australia to the world.

Getting the balance right

When the level of production and spending is falling in an economy, unemployment rises and incomes

FIGURE 2



- ▲ The government looks at the interaction between interest rates and unemployment rates and plans policies accordingly.

fall. In 1991 the Australian economy experienced this condition, known as a recession. It approached this situation again in 2009.

When the level of production and spending is rising too quickly, prices rise and inflation occurs. Australia last experienced a period of high inflation in 1989–90, when interest rates were increased in an attempt to slow spending.

The role of banks

In order to make large purchases such as land and buildings, cars and family holidays, many businesses and consumers borrow money from banks. A bank is also a business that wants to make a profit, so it will accept money as savings (deposits) at a lower interest rate, and lend it at a higher rate.

The role of the Reserve Bank

The Reserve Bank of Australia is not a bank that accepts deposits from individuals. Its role is to manage the Australian economy, including:

- ensuring that economic activity is maintained at a steady pace
- monitoring the demand for and supply of the Australian dollar both internally and globally.

Although it oversees the performance of the Australian economy, the Reserve Bank operates independently of the government.

The Reserve Bank will vary the interest rates that are associated with borrowed money. Low interest rates encourage consumers and businesses to spend, while high interest rates encourage them to save their money. Even a quarter of a percentage rise in interest rates changes the decisions made by consumers and producers in the Australian economy.

If the Reserve Bank decides that economic activity is too high and that spending and production levels are causing inflation, it will raise interest rates. This is a signal to other banks such as Westpac, the Commonwealth Bank and ANZ to also raise their interest rates on loans and savings accounts. If consumers have loans, they must allocate more of their discretionary income to repay the loan when interest rates rise. As a consequence, they spend less in the economy. This reduces the demand for goods and services and, therefore, reduces economic activity.

Likewise, if the Reserve Bank feels that expenditure and consumer confidence levels are low, it will reduce

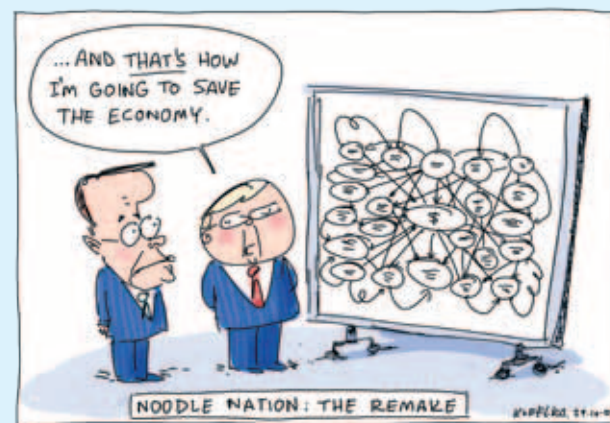
SkillBooster



Interpreting a political cartoon

Political cartoonists comment on topical issues. The Australian economy, taxation and budgets are great targets for the political cartoonist. Look carefully at the following cartoon drawn by Jon Kudelka that appeared in *The Australian* newspaper on 29 November 2008.

FIGURE 3

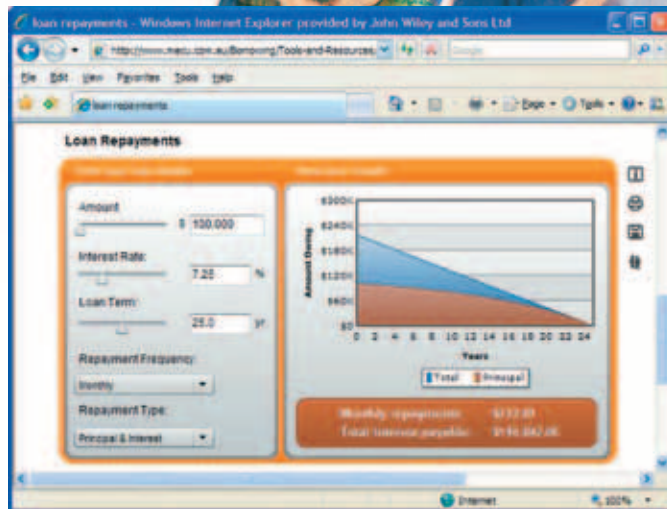


- ▲ The Treasurer and Prime Minister and their policies are often the targets of cartoonists, particularly around the time of a budget.
- It is important to work out who the characters are in a political cartoon, and what positions they hold. In this case, the man on the left of the cartoon is federal Treasurer Wayne Swan, and next to him is then Prime Minister Kevin Rudd.
- The speech bubbles will usually set the context for the cartoon. What is this cartoon about?
- Visual clues help the cartoonist comment on an issue. What issue is presented in this cartoon?

FIGURE 4



FIGURE 5



Online calculators, such as the one shown in this screen capture, enable you to work out financial information relating to loans and other financial matters easily.

interest rates to give consumers more money to spend, which will stimulate more production and expenditure.

The present situation

The Reserve Bank has reduced interest rates during the latter part of 2008 and early part of 2009 in an effort to stimulate growth in a slowing economy. At the same time, the RBA has been monitoring all influences on the general price level, such as petrol and food costs and

Case study 1 — The Vlahos family

The Vlahos family has just moved into a new home in Caroline Springs. Chris and Kathy both work full time, and the children go to school in the area. The family has just taken out a mortgage for \$250 000; most of Kathy's wage is used to pay for it. Recently, increases in the cost of education, food, utilities and keeping two cars on the road, as well as increases in the price of fruit and vegetables, private health insurance and petrol, have significantly raised living expenses. Any increase in the interest rate would add to their mortgage pressure. The family currently pays an interest rate on the mortgage of 6.75 per cent, but hopes that the Reserve Bank may further decrease interest rates in the future.

levels of unemployment, to ensure that the inflation level remained within the Reserve Bank's target zone.

Government 'free kick' for first home buyers

The Australian government, through its First Home Owner Grant scheme, has stepped in to help manage the economy by offering first home buyers a \$7000 grant towards the purchase of a home.

To support more Australian jobs and help more Australians buy their first home, the Rudd Government offered an additional First Home Owners Boost of \$7000 for the purchase of an existing home or \$14000 where a new home was bought or built. This Boost was extended to the end of September 2009, and then amounts were halved until the end of December 2009.

payroll tax a percentage of wages paid to state governments by businesses if their total annual wage bill exceeds \$500 000

FIGURE 6

Case study 2 — Tony Grima

Tony Grima has worked as a pharmacist for five years. Last year, he purchased a shop adjacent to a doctor's surgery that allowed him to improve customer exposure. His business has been performing well and he has employed two full-time staff. Tony took out a business loan of \$450 000 to cover the purchase of the shop and fixtures and fittings to display his stock. This year, the business made a profit of \$130 000, without allowing for any loan repayments. Tony currently pays an interest rate of 7.25 per cent on his loan.



Activities



Student worksheet
2.6

REMEMBER

- 1 Define the terms inflation, interest rates, recession, deficit budget and mortgage.
- 2 Why do governments tax people?
- 3 Why do banks offer low interest rates on savings, but charge higher interest rates on loans?

THINK

- 4 In an economic recession, what type of budget might a government introduce to create more jobs?
- 5 Using case study 1 on the Vlahos family, complete the following tasks:
 - (a) Use the Home Loan Repayment Calculator weblink in your eBookPLUS to calculate the fortnightly repayments for the Vlahos family.
 - (b) If interest rates fell by a quarter of a per cent, what effect would this have on their mortgage repayments?
 - (c) If interest rates were to fall, what should the Vlahos family do with the extra money? Explain.
- 6 Using case study 2 on Tony Grima, complete the following tasks:
 - (a) Use the Home Loan Repayment Calculator weblink in your eBookPLUS schedule to calculate the monthly repayments on his loan.
 - (b) What is Tony's profit after allowing for the cost of his loan repayments for the year?
 - (c) If the interest rate rose to 8 per cent, explain the effect it would have on Tony's business.

COMMUNICATE

- 7 Working in small groups, research and discuss some of the key findings of the current financial year budget. Think about how some of the government's decisions will affect Australian society and the flow-on benefits

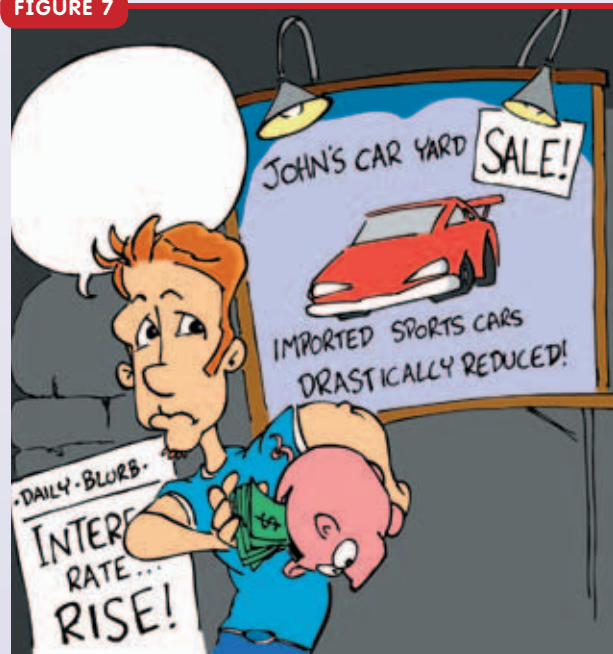
there might be for the economy generally. Decide whether you think these government decisions are a good or bad thing overall. A spokesperson will explain the group's findings to the class.



Interpreting a political cartoon (p. 49)

- 8 (a) What do you think is the message of the cartoon in the SkillBooster on page 49?
- (b) Insert suitable words in the speech bubble of the cartoon below to communicate a political message. Try to make it funny, yet meaningful.

FIGURE 7



Check and challenge

CHECK



- 1 Sometimes, comparing a more complex concept to one that is simpler can help you to remember the important issues and the links between them. Using a football game (for purposes of comparison), who or what in Australia's economy are some of the (a) participants, (b) umpires, (c) coaches, (d) goals and (e) scores? (pp. 30–1)

- 2 Match the term with its correct definition.

Term	Definition
A market	Levels of production and spending levels in the economy
Economic activity	Revenue raised by the government that is paid by consumers and businesses
Taxation	The cost of undertaking one economic activity instead of another that is the best alternative
Opportunity cost	Where buyers and sellers interact, usually exchanging goods for money

- 3 Explain, in your own words, what you understand to be the key differences between macroeconomics and microeconomics. Give some examples of each. (pp. 32–3)
- 4 Work with a partner to construct a flowchart (based on activities you might carry out in your own life) to show how you and a wide range of other individuals are constantly interacting as part of Australia's overall economic activity. (pp. 40–1)
- 5 Give examples of ways in which a recession or depression can badly affect the economy of Australia or that of another country. (pp. 34–5)

FIGURE 1



- 6 Work with a partner to construct a concept map (using ICT software such as Inspiration if available) to show the flow-on effects that a natural disaster, such as a prolonged drought, can have on an economy. (pp. 46–7)
- 7 (a) What is the difference between income tax, payroll tax and goods and services tax (GST)?
(b) In what ways does Australia's economy benefit from government use of tax collections?
- 8 Why do consumers pay high prices for scarce goods? Give an example from your own experience to illustrate your answer.
- 9 (a) How can the Reserve Bank affect the Australian economy?
(b) Look at figure 1. What do you think the cartoonist is saying about the Reserve Bank's use of interest rates as a way of controlling the growth rate of the economy?
- 10 (a) Monitor the daily petrol price at a local petrol station for a fortnight (at the same time each day).
(b) Graph your findings as either a line graph or a bar graph.
(c) What is the petrol price trend?
(d) When is the best time to buy petrol?

CHALLENGE



- 11 Present a one-page report that summarises your research findings on what is being done by (a) the government, (b) car manufacturers and (c) consumers to decrease our use of fossil fuels.
- 12 The Reserve Bank, through its impact on the interest rate, aims at steadying price rises (inflation), levels of production (economic growth) and the new house market (new housing starts).
(a) Working in small groups, research, record and graph changes in Australian figures over a recent five-year period for:
 - (i) interest rates
 - (ii) inflation
 - (iii) economic growth
 - (iv) new housing starts.

- (b) Allowing for a delay for interest rate changes to have an effect, have the other rates been kept fairly stable over the five-year period?
- (c) Has the Reserve Bank achieved its goals over recent years? Justify your response.
- (d) Use your research data to prepare a PowerPoint display for the class.
- 13** What steps can the government take to alter levels of production or expenditure in the Australian economy? Give some recent examples, based on your research, where the government has taken one or more of these steps.
- 14** (a) Explain in your own words what you understand by a supply and demand graph.
- (b) Use the data from the table below to plot a supply and demand curve for new skateboards. Use your completed graph to identify the equilibrium price and quantity.

Price of skateboards	Number of skateboards buyers want to buy	Number of skateboards sellers want to sell
\$20.00	1400	400
\$25.00	1200	600
\$30.00	1000	800
\$35.00	800	1000
\$40.00	600	1200
\$45.00	400	1400
\$50.00	200	1600

- 15** Working in groups, collect at least five articles per group about current issues relating to Australia's domestic economic activity. (Divide research, presentation and other responsibilities involved through a group discussion.)

One of your articles is the article featured on this page. The other articles may come from newspapers, journals or the internet and may include statistics, diagrams or the opinions of key participants in the economy. Use these collected articles to reach a conclusion, within each group, on the current direction of the Australian economy, and any predicted future outcomes based on current trends. The group will share its findings in an oral presentation to the class (each member speaking for about one minute). Consider the following questions.

- (a) What is affecting the current level of economic activity? Is the effect positive or negative?
- (b) What evidence in the articles supports your group's conclusion?

- (c) With which opinions, expressed in any of the articles, does your group strongly agree or disagree?

At the conclusion of each group's presentation, class members may wish to ask questions of the group, focused on the group's presentation and conclusion.

- 16** Read the article below, which is one of the resources you will use to complete question 15.

- (a) Research and then explain the following terms: rate cuts, capital works, credit crunch, construction outlook, domestically orientated industry, flow-on effects.
- (b) Summarise, in dot-point format, what the writer is saying in this article.
- (c) According to the writer, what role should the government play in addressing the economic threat to the building industry?
- (d) Draw a flowchart that shows how government support of the building industry can stimulate economic growth in Australia.

Downturn threatening 50 000 construction jobs: MBA

A building industry peak body says 50 000 construction jobs are under threat because of the economic downturn.

A survey conducted by Master Builders Australia (MBA) in the December quarter shows about half of the respondents expect to have to reduce their staff numbers by more than 10 per cent over the next year as their workload drops off.

The MBA's chief economist Peter Jones says the survey showed early signs that the dramatic rate cuts and the government's economic boost helped the housing market.

But he says the Government needs to do more.

'This significant deterioration in the construction outlook from the survey does point for an urgent need for the governments to help the building industry cope with the credit crunch and expected weaker building activity in 2009,' he said.

Mr Jones says the Government should take measures including bringing forward capital works projects and extending the temporary \$21 000 grant for those first home buyers purchasing new houses.

'The building construction industry at 7 per cent of the economy, 10 per cent of the workforce is extremely important in the sense that it is basically domestically orientated, and has strong flow-on effects to a number of industries in the wider economy,' he said.

'It's a proven success formula for stimulating economic growth.'

Source: <http://www.abc.net.au/news/stories/2009/01/20/2470174.htm>

Thinking about...

...what I have learnt

1 Which game?

While sport is generally a healthy and enjoyable activity, a lot of effort is needed to keep the crowds coming and to keep the game from becoming outdated. How well does the comparison between a sport and the economy work?

- 1 Describe some similarities between a game of sport and the Australian economy.
- 2 Does the comparison between a game of sport and the economy work with any game? Explain your view.
- 3 As a participant in the game of economics, which rules do you need to obey?
- 4 Not all economic participants play by the same rules — some may even be playing a different game. Is this an issue? Explain.



- Economics has been likened to a game of football.



- The Australian dream of owning a home is affected by many economic issues.

2 Dire predictions

One indicator of the growth of an economy is the number of new houses being constructed in a given period of time. Some argue that this is not a reliable measure of growth, as it takes time for economic issues to affect new housing starts.

- 1 Explain some of the factors that may affect the number of new houses being constructed.
- 2 What role does the Reserve Bank have and how does this impact on new home construction?
- 3 Some economists argue that constructing individual houses rather than other forms of accommodation is an inefficient use of resources. Explain this view in terms of opportunity cost.

3 Cause and effect

Drought is an ever-present factor in a dry continent such as Australia. If we are to be a 'clever country', we need to learn how to deal with climatic extremes and to adjust our economic activities to suit our landscape and climate.

- 1 Apart from its effect on farmers, describe the impact of drought on other elements of the Australian economy.

- Drought has many impacts on the Australian economy and affects more than just these sheep.

- 2 Identify a natural issue, other than drought, that also affects the Australian economy from time to time, and outline its effects in a concept map.
- 3 What measures can the Australian government take to lessen the impact of such issues on the economy?



4 Driving the economy

Over time, ideas about managing the economy have varied from having no government interference and leaving it to market forces to strict regulation and government control. Managing the economy is said to be a little like trying to drive a road train, with poor brakes and steering, while only looking in the rear-view mirror.

- ➊ Most of Australia's economic laws are made in the federal parliament.

BACK TO THE ESSENTIAL QUESTION

Which Australian economic issues impact on you, and what can you do to become part of the solution for these issues?

- 1 Explain how some of the Australian economic issues outlined in this chapter impact on you.
- 2 Select two of these issues and describe the steps that you and other participants in the Australian economy can take to lessen their impact.

...how I learn

- 1 Reflect on the learning strategies that you used in the activities in this chapter, including concept maps, tables, flowcharts and spreadsheets. Which of these helped you the most in your learning? Explain why.
- 2 Some of the spreads in the chapter used annotated drawings to convey information or concepts. How effective was this approach in helping you to understand more about the Australian economy and Australian economic issues?
- 3 How useful would it be for your learning to use the strategy of transforming text information into your own annotated drawings or diagrams?
- 4 How can you improve your ability to use graphic organisers such as concept maps and flowcharts?

Self-evaluation

Some of the activity questions required you to work with other class members. There are several well-tested strategies to improve your teamwork skills. Assess yourself on these skills by completing the table below, and consider how you can improve your weaker areas.

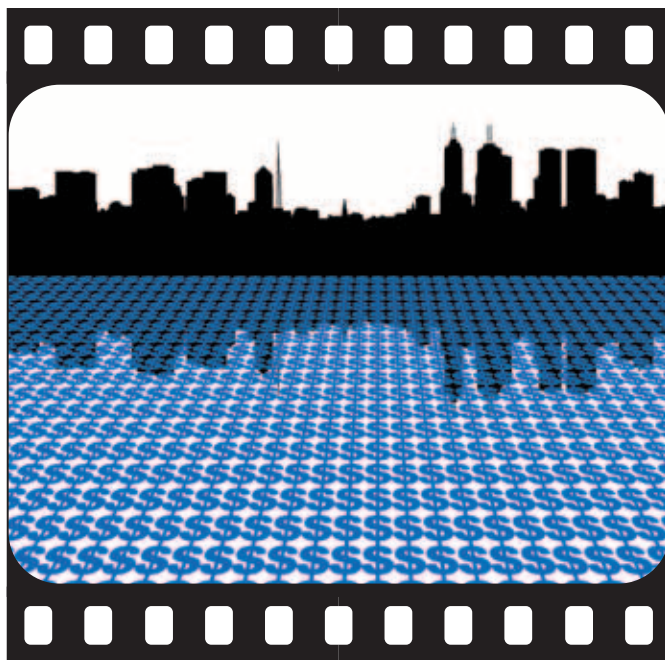
Overall, how well did I ...	Perfectly	Very well	Only just	Poorly
... organise my time to complete my part of the task?				
... help other team members meet the deadline?				
... support the efforts of fellow team members?				
... contribute to a friendly and positive work atmosphere?				
... accept positive criticism from other team members?				
... offer positive suggestions and improvements?				
... revise or rehearse my part in the presentation?				
... perform my task as part of the team?				

eLesson

WHAT IS ECONOMICS?

The *Macquarie dictionary* describes economics as 'the science of the production, distribution and use of income and wealth'. You could choose to study economics in your senior years at high school or at university. Many economists have different views about what the economy is and how it should be managed and they do not all agree about what the main issues are. This video lesson will help you understand some of the key concepts involved in managing Australia's economy.

SEARCHLIGHT ID: ELES-0253



eLesson

THE GLOBAL FINANCIAL CRISIS

All over the world, the value of stocks has dropped dramatically, financial institutions have collapsed and governments in every nation have had to create rescue packages to bail out their financial systems. Many economists have argued extensively about the real cause of the GFC and whether it is purely a cyclical adjustment or a crisis that could have been avoided. This eLesson will help you understand the key events that led to this global recession.

SEARCHLIGHT ID: ELES-0254



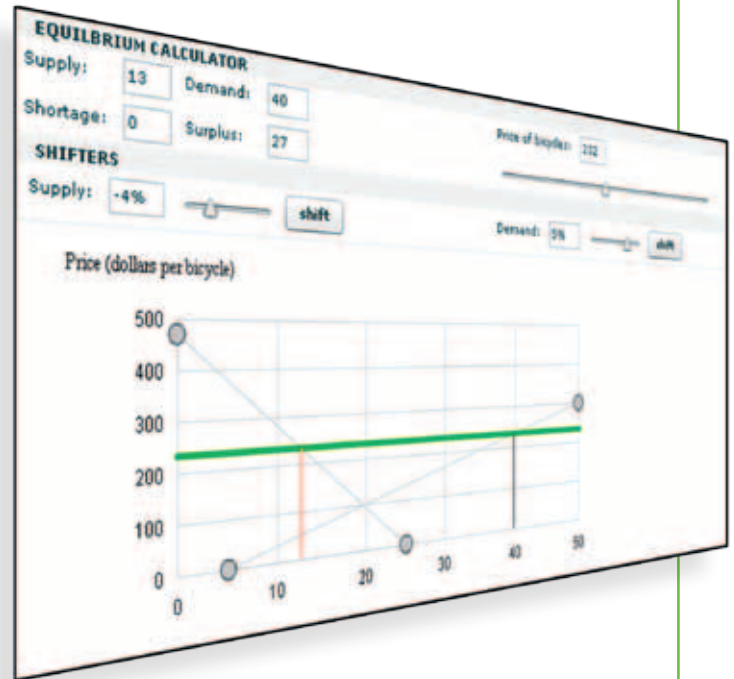
These ICT activities are available in this chapter's Student Resources tab inside your eBookPLUS. Visit www.jacplus.com.au to locate your digital resources.

Interactivity

SUPPLY AND DEMAND GRAPH

Economic activity is the supply of and demand for goods and services in an economy. As consumers, we buy a range of goods and services to satisfy our needs and wants. Usually consumers are willing to buy more of a product at a lower price, and producers are willing to supply more of a product at a higher price. The prices of goods and services are set according to these market forces. Use this interactivity to explore a supply and demand graph and change the price of bicycles by dragging the pointer along the 'price of bicycles' line. As the price changes you will see the prices at which bicycles are undersupplied, oversupplied and in equilibrium.

SEARCHLIGHT ID: INT-0764



eLesson

WHAT IS AN ETHICAL CONSUMER OR PRODUCER?

The products we choose to purchase have an effect on people living in other countries, on the global environment and on animals. The methods used by producers to manufacture goods and services may not always be ethical, and more and more consumers are educating themselves on the practices of the corporations that produce the products they buy. We spoke to Christopher Zinn, from consumer body Choice, about what makes a company an 'ethical producer' and the steps you can take to ensure you are shopping with a clear conscience.

SEARCHLIGHT ID: ELES-0255

